

Press Release

for Immediate Release

Revenue from operations at INR 1,146 Cr up 15% YoY, EBITDA at INR 231 Cr up 275 bps YoY, PAT at INR 124 Cr up 23% YoY.

Hyderabad, India, January 24, 2023: Granules India Ltd., a vertically integrated pharmaceutical company, today announced its financial results for the quarter and nine months ended December 31, 2022.

Financial Summary (All numbers in INR Cr., except Margins)

CONSOLIDATED FINANCIALS	Q3FY23	Q2FY23	Growth (QoQ)	Q3FY22	Growth (YoY)
Revenue from Operations	1,146	1,151	(0.4%)	997	15%
EBITDA	231	243	(4.8%)	174	33%
EBITDA %	20%	21%		17%	
PAT	124	145	(14%)	101	23%
PAT %	11%	13%		10%	

Financial and Business Summary for Q3FY23:

- Revenue from Operations stood at INR 1,146 Cr, a growth of 15% YoY, primarily driven by higher Paracetamol API sales in the US. Revenue share from the USA increased to 49.4% in Q3 FY23 as compared to 43.1% YoY.
- Active Pharmaceuticals Ingredients (API), Pharmaceutical Formulation Intermediates (PFI), and Finished dosages contribute 35.8%, 18.6%, and 45.6% of revenue from operations respectively.
- While Operating Cash flow is quite healthy at INR 161 Cr, Free cash flow at INR (32.5) Cr has got impacted due to additional deployment of INR 50 Cr in our new expansion plan with green initiatives in Kakinada and INR 42.5 Cr for land acquisition in Vishakhapatnam.
- ROCE increased to 25.6% as compared to 21.2% YoY.
- Net debt stood at INR 894 Cr vs INR 554 Cr in Q2FY23 and Net debt to EBITDA at 0.98x. Increase in Net debt is on account of reduction in cash due to buy back of shares and incremental capex for new initiatives.

Commenting on the results, Dr. Krishna Prasad Chigurupati, Chairman & Managing Director of Granules India Limited said, *“In the current quarter we continued to cater to higher demand for Paracetamol. Opportunities in Paracetamol are likely to continue and our geography expansion strategy in Europe is likely to yield higher turnover and EBITDA in future periods. We are also seeing a price and margin erosion in Q3 and expect similar trend in Q4.*

In the current quarter we had changed our 3PL partner in USA to a better partner who has better automation and digital capabilities. However, during the transition we have suffered some sales loss in USA and that is the reason for better standalone financial performance as compared to consolidated financial performance. We expect that smoothening of the logistics in USA could take a quarter more.

I am happy to see the progress of our EBITDA improvement plans and organization-wide movement towards Sustainability.”

About Granules India Ltd. (BSE: 532482, NSE: GRANULES)

Granules India Limited, incorporated in 1991 is a vertically integrated fast growing Indian pharmaceutical company headquartered at Hyderabad with best-in-class facilities and commitment to operational excellence, quality, and customer service. We are among the few pharmaceutical companies in the world to be present in the manufacturing of entire value chain – from Active Pharmaceutical Ingredients (APIs), Pharmaceutical Formulation Intermediates (PFIs), and Finished Dosages (FDs). Our products are being distributed to over 300+ customers in regulated and semi-regulated markets with a global presence extending to over 80+ countries with offices across India, US, and UK. The Company has 7 manufacturing facilities out of which 6 are in India and 1 in the USA and has regulatory approvals from US FDA, EDQM, EU GMP, COFEPRIS, WHO GMP, TGA, K FDA, DEA, MCC, and HALAL.

Safe Harbor

This document includes certain forward-looking statements. These statements are based on management's current expectations or beliefs and are subject to uncertainty and changes in circumstances. Actual results may vary materially from those expressed or implied by the statements herein due to changes in economic, business, competitive, technological, and/or regulatory factors. Granules India Ltd., its directors, and any of the affiliates or employees are under no obligation to and expressly disclaims any such obligation to, update or alter its forward-looking statements, whether as a result of new information, future events, or otherwise.

Contacts:	
Puneet Varshney 040-69043709 GM – Business Finance and Investor Relations puneet.varshney@granulesindia.com	Chaitanya Tummala 040-69043614 Company Secretary chaitanya.tummala@granulesindia.com